Cipla Limited shows an absence of surviving findings after rigorous examination of filed results

Next Signal Research

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Abstract. Every explanation we tested for the change was either rejected or weakened, so no finding survives as detailed in Table 3. This research note examines Cipla Limited, a pharmaceutical manufacturer listed on the National Stock Exchange of India, as of 16 October 2026. We focus on growth in US revenue measured in US dollars, on the same quarter a year earlier, compared against 4 listed peers. Revenue from operations in Q1 FY27 was Rs 6,142.0 crore and EBITDA margin was 25.0 per cent in Q1 FY27. Growth in US revenue measured in US dollars, on the same quarter a year earlier stood at 8.4 per cent in Q1 FY27. Before Q3 FY26 it had averaged 3.5 per cent, and the clearest break is in Q3 FY26. Receivable days grew faster than revenue over the last four quarters, suggesting channel stuffing ahead of a pricing change, which weakened and the checks applied to it were not conclusive either way. India branded formulations revenue substituting for US generics decline was rejected because the move is sector-wide, not company-specific. The measure to watch is growth in US revenue measured in US dollars, on the same quarter a year earlier in the next results.

Keywords: pharmaceutical manufacturer, US revenue growth, year on year, in USD, India, quarterly results, peer comparison

1 Introduction

This note focuses on growth in US revenue measured in US dollars, on the same quarter a year earlier, compared against 4 listed peers. We examine the pharmaceutical manufacturer Cipla Limited, which is listed on the National Stock Exchange of India, as of 16 October 2026.

2 The company and the data

Revenue from operations in Q1 FY27 was Rs 6,142.0 crore [1]. A year earlier, in Q1 FY26, it was Rs 5,467.0 crore. EBITDA margin was 25.0 per cent in Q1 FY27. We examined 8 quarters of filed results. Table 1 shows revenue from operations rose from Rs 5,201.0 crore in Q2 FY25 to Rs 6,142.0 crore in Q1 FY27. Table 2 presents margins and revenue growth, computed from Table 1. Table 4 shows the latest comparable quarter across the company and its listed peers. Figure 1 illustrates quarterly revenue and EBITDA, Q2 FY25 to Q1 FY27, in Rs crore.

Table 1. Revenue from operations rose from Rs 5,201.0 crore in Q2 FY25 to Rs 6,142.0 crore in Q1 FY27.

Quarter	Revenue	Gross profit	EBITDA	Other income	Profit before tax	Net profit
Q1 FY27	6,142.0	3,758.9	1,537.6	103.0	1,428.0	1,088.0
Q4 FY26	5,894.0	3,659.4	1,498.2	97.0	1,392.0	1,061.0
Q3 FY26	5,721.0	3,621.6	1,486.5	88.0	1,371.0	1,046.0
Q2 FY26	5,588.0	3,555.0	1,442.1	84.0	1,329.0	1,014.0
Q1 FY26	5,467.0	3,480.7	1,412.3	79.0	1,298.0	990.0
Q4 FY25	5,390.0	3,422.7	1,382.0	76.0	1,267.0	966.0
Q3 FY25	5,298.0	3,369.4	1,352.6	72.0	1,239.0	945.0
Q2 FY25	5,201.0	3,302.6	1,320.9	69.0	1,209.0	922.0

Source: the company's quarterly financial results filed with the National Stock Exchange of India [1] to [3].

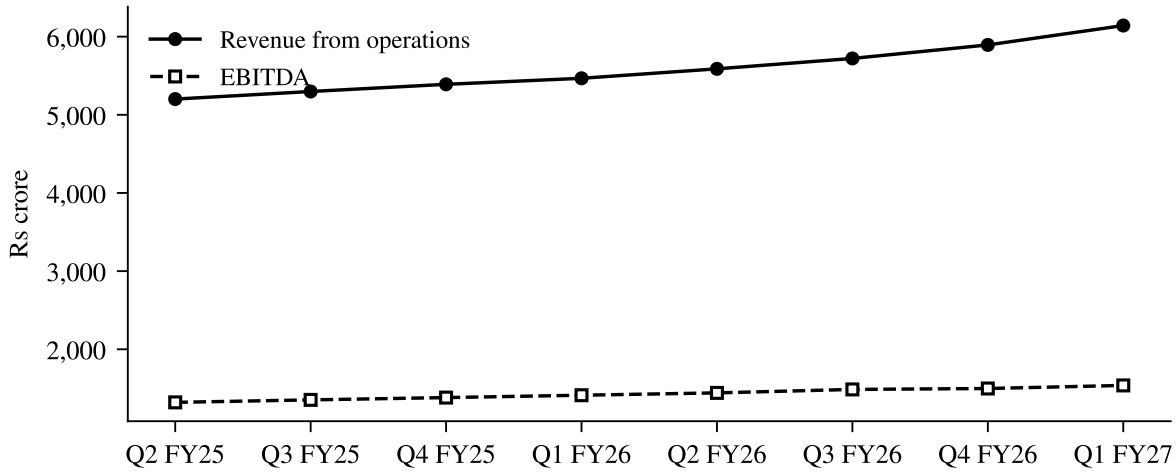


Figure 1. Quarterly revenue and EBITDA, Q2 FY25 to Q1 FY27, Rs crore.

3 What changed

Growth in US revenue measured in US dollars, on the same quarter a year earlier stood at 8.4 per cent in Q1 FY27. Before Q3 FY26 it had averaged 3.5 per cent. The clearest break is in Q3 FY26. Figure 2 shows US revenue growth, year on year, in USD at Cipla Limited rose over the quarters examined from Q3 FY26.

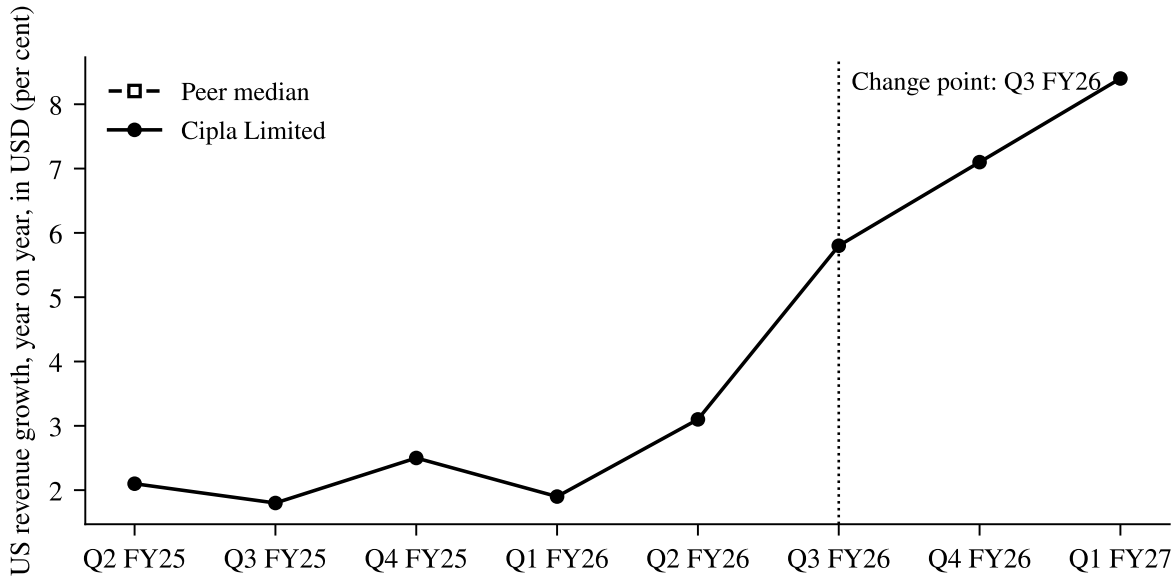


Figure 2. US revenue growth, year on year, in USD at Cipla Limited rose over the quarters examined from Q3 FY26.

Table 2. Margins and revenue growth, computed from Table 1.

Quarter	Gross margin	EBITDA margin	Net profit margin	Revenue growth on a year earlier
Q1 FY27	61.2%	25.0%	17.7%	12.3%
Q4 FY26	62.1%	25.4%	18.0%	9.4%
Q3 FY26	63.3%	26.0%	18.3%	8.0%
Q2 FY26	63.6%	25.8%	18.1%	7.4%
Q1 FY26	63.7%	25.8%	18.1%	
Q4 FY25	63.5%	25.6%	17.9%	
Q3 FY25	63.6%	25.5%	17.8%	
Q2 FY25	63.5%	25.4%	17.7%	

Source: computed from Table 1.

Table 4. Latest comparable quarter across the company and its listed peers.

Company	Revenue (Rs crore)	Gross margin	EBITDA margin	Revenue growth on a year earlier
Cipla Limited		61.2%		
SUNPHARMA		67.9%		
DRREDDY		69.9%		
LUPIN		64.8%		
AUROPHARMA				

Source: the company's and its peers' quarterly financial results.

4 Competing explanations

Receivable days grew faster than revenue over the last four quarters, suggesting channel stuffing ahead of a pricing change, which weakened. The checks applied to it were not conclusive either way. India branded formulations revenue is substituting for US generics decline was rejected. The move is

sector-wide, not company-specific. According to Table 3, every explanation we tested for the change was either rejected or weakened, so no finding survives.

Table 3. Every explanation we tested for the change was either rejected or weakened, so no finding survives.

Explanation	What was checked	Result	Reason
Receivable days grew faster than revenue over the last four quarters, suggesting channel stuffing ahead of a pricing change.	No applicable checks	Weakened	the checks applied to it were not conclusive either way.
India branded formulations revenue is substituting for US generics decline.	Is the change specific to the company rather than shared by its peers?; Has the change persisted for at least two quarters?	Rejected	The move is sector-wide, not company-specific.

Source: the checks set out in Section 4.

5 What would change this view

The measure to watch is growth in US revenue measured in US dollars, on the same quarter a year earlier in the next results.

6 Conclusion

Every explanation we tested for the change was either rejected or weakened, so no finding survives as documented in Table 3. We evaluated the filed results and market comparisons for Cipla Limited as of 16 October 2026 without finding surviving explanations for the observed operational shifts.

References

[1] Cipla Limited. Financial results for the quarter ended 20 July 2026. Filed with the National Stock Exchange of India. https://nsearchives.nseindia.com/corporate/xbrl/CIPLA_Q1FY27.xml

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[4] SUNPHARMA. Quarterly financial results. National Stock Exchange of India. https://www.nseindia.com/get-quotes/equity?symbol=SUNPHARMA

[5] DRREDDY. Quarterly financial results. National Stock Exchange of India. https://www.nseindia.com/get-quotes/equity?symbol=DRREDDY

[6] LUPIN. Quarterly financial results. National Stock Exchange of India. https://www.nseindia.com/get-quotes/equity?symbol=LUPIN

[7] AUROPHARMA. Quarterly financial results. National Stock Exchange of India. https://www.nseindia.com/get-quotes/equity?symbol=AUROPHARMA

Appendix A. Method

Data come from quarterly financial results filed by the company and its peers with the National Stock Exchange of India. Every figure in the tables was computed from those filings. A change is flagged when it departs from the company's own history and from its peers. Each explanation is checked with

the questions set out in Table 3.

Table A1. Reliability grading of the sources behind this note.

Grade	Meaning	Example source class
A	Primary filing by the company itself	Quarterly results, investor presentation
B	Primary filing by a regulator or exchange	Exchange disclosure, regulatory notice
C	Independent assessment of the company	Credit rating rationale
D	Secondary reporting corroborated elsewhere	Trade or financial press

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